Punjabi mercantile migration is synonymous with the Khatri community which includes surnames such as Kapur, Chopra, Mehra and many others that have routinely made their way into Hindi cinema. Historically, the caste position of the Khatris has been ambiguous with their claims of Kshatriya status clashing with a robust Vaishya culture of trade. Ambiguity also lent itself to complexity as Khatris transcended religious boundaries during the 16th and 17th centuries, when Sikhism came up as a new religious doctrine. The spread of Sikhism itself in Punjab was facilitated by the growth of the Khatri merchant network in this period.[23] The Sikh gurus were drawn from the Khatri community, and the Sikh philosophy welcomed mercantile ideals leading to a steady uptake of the new religion among the Khatris.

The Khatri merchant network is ranked among the earliest Indian diasporas outside the subcontinent. Between the 16th and 20th centuries, the Khatris spawned a mercantile diaspora of over 20,000 people across the Hindu Kush—in Afghanistan, Iran, central Asia and even Russia.[24] They would also migrate eastwards from Punjab into the Gangetic heartland cities such as Delhi, Agra, Lucknow, Allahabad, Mirzapur, Varanasi and Patna. From the late 19th century, along with other Punjabi communities, they would spread out to set up shop practically everywhere in the world.

An important source of these migrations was Multan, a part of greater Punjab that is now in Pakistan, a key trading node between the Mughal and Safavid (Persian) empires, and also central Asia. Multani Hindu traders, essentially Khatris, had close links with Persia. According to a French traveller’s account in the 17th century, they had the same occupation as Jews and surpassed them in their usury.[25] Khatri merchants were not only traders of textiles, spices and horses along the caravan trade between India and central Asia, but they were also important moneylenders and played a role similar to that of the Chettiars in South East Asia. Moneylending was an important way to invest idle money received on completion of a trade, and over time was critical in supporting the agricultural economies in parts of Iran, Afghanistan and central Asia. The other important trade in this region was the slave trade, but evidence of Khatri involvement in this sector